

Conclusion Higher-quality of earnings with less risk and more predictability are valued higher and given higher multiples. On the other hand, a higher multiple also suggests that the stock is more expensive. So, higher multiple can mean both expensive as well as quality, we need to evaluate.

Let's examine a mediocre business.

The P/E of a company with earnings per share of 100 rupees and a market price of 700 rupees is $700/100 = 7x$.

$$\text{P/E of company A} = 700 / 100 = 7x$$

Now here, there are two possibilities. We can either conclude that the company is or that the share has a low-quality of earnings due to some risk. This requires analysis.

Now let us take an excellent company Britannia.

Lets say, the stock price is 5000 rupees, and the earnings per share are 100 rupees. Thus, the P/E ratio is $5000/100 = 50x$, indicating that this investment is relatively expensive.

$$\begin{aligned} \text{P/E of Britannia} &= 5000 / 100 \\ &= 50x \end{aligned}$$

But high quality companies will always have high P/E. We can compare its own P/E with its past and then decide when it's relatively cheap.

→ Source: NSE

Formula:

$$\frac{\text{Nifty Value}}{\text{Weighted Earnings of all Nifty Companies}}$$